

There have been three primary causes for poor experiences: first, high costs, usually because investors traded excessively or spent far too much on investment management; second, portfolio decisions based on tips and fads rather than on thoughtful, quantified evaluation of businesses; and third, a start-and-stop approach to the market marked by untimely entries (after an advance has been long underway) and exits (after periods of stagnation or decline). Investors should remember that excitement and expenses are their enemies. And if they insist on trying to time their participation in equities, they should be fearful when others are greedy and greedy only when others are fearful.

Index funds and ETFs are available in a variety of asset classes and categories. There are many U.S. stock funds, international stock funds, bond funds, and even commodities and gold funds. If you are considering an investment in a particular asset class, chances are that there is an index fund or ETF available, or that one will be available shortly.

The Morningstar Principia database lists over 1,150 index funds and index-based ETFs that trade in the United States, and many new funds are being added each year. These funds cover a wide variety of markets and are issued by several competing companies. The Standard & Poor's 500 is the most commonly used index. There are 25 funds listed in the Principia database that attempt to replicate the performance of the S&P 500 Index.

There are three reasons that index mutual funds and ETFs are an ideal choice for those pursuing an asset allocation strategy in your portfolio:

1. *Low tracking error with the indexes.* The data used in almost all asset allocation analysis come directly from the return on the market. Accordingly, market-matching index funds and ETFs are a logical investment choice for people who want to make the most of asset allocation analysis. Any deviation from index funds adds an element of risk that was not captured in the asset allocation analysis.
2. *Low expense ratios.* In general, stock and bond index funds and ETFs have the lowest investment fees in the industry. The lowest-cost index funds and ETFs charge about 0.1 percent per year, which is well below the industry average of 1.4 percent. One word of caution: Not all index funds have low fees. Some investment